

Logic for Section 3 – Sections 2.1 and 2.2

The logic for **Section 3 (Sections 2.1 and 2.2)** is based on extracting **Liabilities (Payables)** and **Claims (Receivables)** for **Direct Investors**.

Step 1: Identify the Source Document

The primary source document is the **Financial Statements**.

Step 2: Navigate to Related Party Transactions

Within the Financial Statements, navigate to the **Related Party Transactions** section. This section typically contains transactions with related parties, including:

- Accounts Payable
- Accounts Receivable
- Trade Payables
- Trade Receivables

Step 3: Identify Foreign Related Parties

From the Related Party Transactions section, identify foreign entities using company name indicators such as:

- Inc.
- Pty
- Pte
- GmbH
- Other non-Indian company suffixes

Ignore common Indian suffixes such as **Pvt. Ltd.**

Step 4: Verify Whether the Party is a Direct Investor

For every foreign entity identified:

1. Cross-reference the company against the **List of Shareholders**.
2. Verify whether the entity is a shareholder (Direct Investor).
3. Calculate the shareholder's ownership percentage if required.

If shareholder information is not available in the Related Party Transactions section, retrieve it from the **List of Shareholders**.

Step 5: Classify Based on Shareholding

- **More than 10% shareholding**
- Report company-wise.

- Display the company name in the output.

- **Less than 10% shareholding**

- Aggregate values country-wise.
- Do not report individual company names.

Step 6: Map Financial Values

From the Related Party Transactions table:

- If the transaction represents **Accounts Payable / Trade Payable**, map the value to:
 - **Section 2.1 – Liabilities to Direct Investor**
- If the transaction represents **Accounts Receivable / Trade Receivable**, map the value to:
 - **Section 2.2 – Claims on Direct Investor**

Step 7: Handle Currency and Units

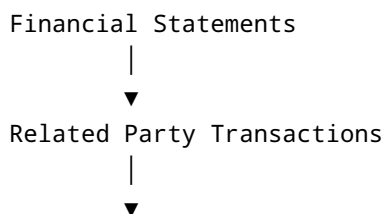
If the financial statements report amounts in **Thousands**, convert the values to the unit required by the FLA template before populating the output.

Step 8: Fallback Logic

If the required receivable/payable information is not available in the Financial Statements:

1. Refer to the **List of Shareholders**.
2. Identify non-resident shareholders.
3. Calculate their shareholding percentage.
4. Categorize them into:
 5. More than 10%
 6. Less than 10%
7. Populate the corresponding liability or claim values based on the available supporting documents.

Summary Flow



Identify Foreign Companies



Cross-check with List of Shareholders



Determine Shareholding Percentage



>10% → Company-wise reporting



<10% → Country-wise reporting



Accounts Payable → Section 2.1 (Liabilities)

Accounts Receivable → Section 2.2 (Claims)